



DIGITAL DISTRIBUTION AGREEMENT

This exclusive digital distribution agreement ("**Agreement**") is made and entered into as of 23rd August 2023 ("**Effective Date**") by and between Ostereo Limited ("**Ostereo**") of International House, 61 Mosley Street, Manchester, M2 3HZ, United Kingdom and 1888 Records (c/o Muhammad Adeel, email: madhurifans786@gmail.com) ("**Owner**"), of Plot No D-14, Hub Hite, Balochistan, Pakistan.

All payments to Owner pursuant to this Agreement shall be made to:

Bank Name: United Bank Limited
Address:
Account Name: Muhammad Adeel
Account Number: 0909270991462
Sort code:
SWIFT: UNILPKKA
IBAN: PK47UNIL0109000270991462

If Owner wishes to exclude any DSPs, platforms or channels from the rights granted to Ostereo pursuant to Clause 2.1 below these (if any) shall be listed here:

EXCLUSIONS

SPECIAL CONDITIONS: It is acknowledged that Owner is subject to an existing distribution agreement in respect of some of the Owner Records and Owner Records are not listed in the Schedule hereto but total no fewer than 5000 sound recordings. As a material term of this Agreement, Owner warrants to; a) deliver to Ostereo no fewer than 100 Owner Records within 1 month of the date hereof; and b) deliver to Ostereo no fewer than 500 Owner Records within 3 months of the date hereof; and c) deliver to Ostereo no fewer than 1000 Owner Records within 9 months of the date hereof; and c) deliver to Ostereo no fewer than 5000 Owner Records within 18 months from the date hereof. Failure on Owner's part to meet this warranty shall mean that Ostereo is entitled to unilaterally terminate the Term of this Agreement by written notice to the Owner.

1. TERM

This Agreement commences as of the Effective Date and continues for a period of three (3) years after the date of Delivery of no less than 25% of the Owner Records Specified in Schedule One below (or, as modified by any "SPECIAL CONDITIONS" herein) ("**Initial Term**"). The Initial Term shall automatically extend for successive periods of one (1) year (and, if any, collectively with the Initial Term, the "**Term**"), unless either party hereto provides written notice of termination at least ninety (90) days prior to the expiration date of the then-current Term.

2. OSTEREO'S RIGHTS/ DELIVERY

2.1 During the Term, Owner will Deliver to Ostereo all audio-only and audiovisual content (including, without limitation, Records and Videos embodying Recordings) owned and/or controlled by Owner and/or any Affiliates

of Owner including, promptly after the Effective Date, all existing Records set forth in the Schedule One below (collectively "**Owner Records**").

2.2 Owner grants to Ostereo the exclusive right during the Term and, if applicable, the Rights Period: (i) of Digital Distribution of Owner Records; (ii) to distribute and exploit the Content at DSPs and via Channels; (iii) to monetise the Content through distribution and exploitation licensing at DSPs and via Channels; (iv) to promote, negotiate, administer, and manage the Digital Rights (including, without limitation, with respect to Content license agreements and the execution thereof); and (v) to collect all Revenues from Channels on Owner's behalf.

2.3 Owner grants to Ostereo the non-exclusive right during the Term and, if applicable, the Rights Period: (i) to use and publish, and to permit others to use and publish the Promotional Materials on a royalty-free basis; and (ii) to license Owner Records to third parties for use in audio and audiovisual works, including, without limitation, motion pictures, television productions, and video games (each, a "**Synch**") provided, however, that Ostereo obtains Owner's prior written consent (e-mail shall suffice) in each such instance.

2.4 Owner grants to Ostereo the exclusive right during the Term and, if applicable, the Rights Period to integrate, monetise and exploit any and all YouTube Channels (as part of Ostereo's YouTube Music Management System) or, as applicable, Channels on other platforms owned or controlled by the Owner and/or any Affiliates of Owner (including, without limitation, those Channels listed in Schedule Two below), as well as the content exploited through the Channels. For the avoidance of doubt, this shall only apply to Channels which exclusively contain Records and/or Videos wholly owned or controlled by the Owner and/or any Affiliates of Owner. Any Channels which do not meet this criteria ("Excluded Channels") shall be listed in the EXCLUSIONS above. With respect to Excluded Channels, Ostereo shall instead monetise Owner Records by placing individual claims on Owner Records.

2.5 Ostereo reserves the right to decline exploitation and/or monetization of any Channel and/or Owner Content through Ostereo's YouTube Music Management System (or, as applicable, management systems on other platforms) and/or to reject or discontinue exploitation and/or monetisation of any Channel and/or Content for any or no reason, at any time during the Term. In such cases, Owner shall be entitled to grant the rights hereunder to another party in its sole discretion but solely for the Channel and/or Content which Ostereo has declined to exploit and/or monetise.

3. **REVENUE SHARES**

Ostereo will pay Owner the following shares of Revenue in connection with Owner Records hereunder:

- (i) For Digital Distribution, including (a) the download and streaming of Records, and (b) Channels monetisation: Eighty percent (80%) of Revenue; and
- (ii) For Synch licenses: Seventy Percent (70%) of Synch Revenue.

4. **PAYMENTS/ACCOUNTING**

4.1 Revenue for the Records distributed under this Agreement will be: (i) paid GB Pounds Sterling; (ii) subject to any withholding taxes applicable to Revenues received by Ostereo; (iii) subject to any applicable bank or transfer charges which are to be borne by the Owner; and (iv) payable monthly in respect of Revenue received by Ostereo in the United Kingdom. In the event the total amount of the Net Revenue Share earned by Owner for any billing month is less than £250, no payment will be made to Owner and such balance will be carried forward to the following billing month. If Ostereo makes any overpayment to Owner and/or incurs any cost as a result of Owner's failure to comply with the terms of this Agreement, then, without limiting any of Ostereo's other rights and remedies, Owner agrees to fully pay such sums to Ostereo within 30 days from Ostereo's demand therefor failing which such amounts shall constitute a debt and Ostereo shall have the right to deduct such amount(s) from any monies otherwise payable to Owner under this or any other agreement between Owner and Ostereo or its affiliates.

4.2 Ostereo shall have the absolute right in accounting to Owner to rely upon and shall not be liable in any manner for any error, omission, and/or other inaccuracy in the statements and information Ostereo receives from third parties. All accountings rendered by Ostereo to Owner will be binding upon and not subject to inspection by Owner, unless notice of inspection is provided in writing to Ostereo no more than two (2) years from the date the statement concerned was made available to Owner. Any inspection of Ostereo's accounting to Owner may (i) occur no more than once per statement and once per calendar year; (ii) shall consist solely of Ostereo's own statements which are specifically related to Ostereo's accounting to Owner; (iii) shall take place at the location where Ostereo normally keeps such statements during normal business hours, and in such a manner so as not to disrupt Ostereo's other functions; (iv) shall be conducted by a certified accountant who is experienced in recording industry audits under an appropriate confidentiality agreement which prohibits the disclosure of any details in connection therewith or derived therefrom to any Person other than Owner; (v) shall be completed promptly; and (vi) shall be initially reviewed by a designated member of Ostereo's finance staff in order to remedy any factual errors and to clarify any issues prior to any disclosure is made thereafter. For the avoidance of doubt, any such inspection as described in this Clause 4.2 shall be conducted at Owner's sole cost and expense. Any action by Owner in connection with any accounting hereunder must be commenced no more than three (3) years from the date the statement concerned was made available to Owner and Owner hereby waives any longer statute of limitations that may be permitted by law.

5. **PARTIES OBLIGATIONS**

5.1 Owner is, and will remain, solely responsible for and will directly pay all sums in connection with the following obligations: (i) royalties and other costs which may become due and/or otherwise payable to artists, producers, and any other third-party royalty participants with respect to any and all of Owner Records; (ii) recording and production expenses incurred with respect to any and all of Owner Records, including applicable union and/or guild payments; (iii) sales, use, and/or other taxes levied on any of the monies payable to Owner by Ostereo; (iv) Owner's promotional, marketing, and advertising of the Content; and (v) the procurement of any licenses in connection with the Content (including, without limitation, the Compositions embodied on Owner Records and all related mechanical royalties in connection therewith). Notwithstanding the foregoing, Ostereo reserves the right (but undertakes no such duty nor obligation) to, in Ostereo's sole discretion, pay any of the foregoing sums on Owner's behalf, the amounts of which shall constitute a debt and shall be fully recoupable from any monies otherwise payable to Owner.

5.2 Neither party hereto shall disclose the terms of this Agreement to any other Person (other than to employees, agents, solicitors and other professional advisors), except as may be required or allowed by applicable law, court process or any regulatory or other governmental agency (in which event the disclosing party will advise the non-disclosing party of such required disclosure).

6. **CONFIDENTIAL INFORMATION**

6.1 Owner hereby expressly undertakes, during and following the Term, to retain in confidence to retain in confidence, all information, communications, trade secrets and know-how, including, without limitation, the terms of this Agreement, disclosed by Ostereo to Owner whether orally or in writing and regardless of the form or medium (collectively, "**Confidential Information**"). Confidential Information shall not be construed to mean any information which the Owner can show: (i) is, or subsequently becomes, publicly available other than as a result of Owner's breach of any obligation owed to Ostereo or a third party; (ii) became known to Owner prior to Ostereo's disclosure of such information to Owner; or (iii) is independently developed by Owner. Owner shall make no use of Confidential Information except as expressly authorised under this Agreement. Owner may, however, disclose Confidential Information to Owner's legal and business representatives who are subject to written confidentiality agreements consistent with the terms hereof and if required by law, provided, that with respect to the latter, Owner gives Ostereo reasonable notice prior to such disclosure and uses diligent efforts to limit such disclosure.

6.2 Without limiting the provisions of clause 6.1 above, Owner agrees not to make, or permit any person or entity on Owner's behalf or with Owner's knowledge to make, any public announcement or statement (by any means) in connection with this Agreement without Ostereo's prior written approval.

7. **DATA PROTECTION**

Each party to this Agreement shall, at its own expense, ensure that it complies with and assists the other party to comply with the requirements of all legislation and regulatory requirements in force from time to time relating to the use of personal data, including the Data Protection Legislation. This provision is in addition to, and does not reduce, remove or replace a party's obligations arising from such requirements. Ostereo will collect and process Owner's personal data in accordance with the privacy notice provided to Owner upon request to Ostereo. "**Data Protection Legislation**" means the UK Data Protection Legislation and (for so long as and to the extent that the law of the EU has legal effect in the United Kingdom) the General Data Protection Regulation ((EU) 2016/679) and any other directly applicable EU regulation relating to privacy

8. **REPRESENTATIONS AND WARRANTIES**

Owner represents and warrants that: (i) Owner is not and will not become under any material restriction nor prohibition in respect of Owner's rights to execute this Agreement, to perform Owner's obligations hereunder, and to grant to Ostereo the rights granted herein; (ii) Owner has and will retain the right to mechanically record the selections recorded on the Records; (iii) the Content, the Records (including, without limitation, the Recordings and other performances embodied thereon), and the Materials, and all authorised uses thereof (whether by Ostereo or its grantees, licensees or assigns) do not and will not violate nor infringe upon the rights of any third party; (iv) Owner is and will remain throughout the Term the sole owner or the exclusive licensee of all right, title, and interest (under copyright and otherwise) in and to Owner Records; (v) Owner is and will remain throughout the Term the sole owner or permitted licensee of any trademark and/or logo appearing on Owner Records to be used by Ostereo; (vi) Ostereo's exercise of any of the granted rights hereunder will not violate any law nor the rights of any Person or party; (vii) neither Owner nor (as applicable) any Affiliates of Owner have sold, assigned, transferred, conveyed, leased, licensed, granted a security interest in or otherwise disposed of the Content, Owner Records, Owner's rights therein and thereto, and any and all portions thereof, and shall refrain from doing so throughout the Term; and (viii) neither Owner nor (as applicable) any Affiliates of Owner have authorised nor will authorise during the Term any other Person to sell, distribute and/or otherwise exploit the Content and/or Owner Records in the Territory in contravention of Ostereo's exclusive rights hereunder.

9. **GENERAL PROVISIONS**

9.1 Upon written request from Owner, Ostereo agrees to issue a takedown request to each DSP supplied by Ostereo to remove any particular Owner Records from its service Provided That where a takedown request is made by Owner for reasons other than technical or legal reasons, that takedown request will be subject to Ostereo's prior written approval.

9.2 Ostereo will have the right, without liability to Owner and without limiting Ostereo's other rights and remedies, to decline to distribute and/or to discontinue the distribution of any of Record, if Ostereo, in Ostereo's sole, reasonable discretion, determines: (i) Ostereo's distribution might violate a statute, law or regulation, or violate any rights of any Persons; (ii) Ostereo's distribution would constitute a breach by Owner of any of Owner's agreements, warranties, and/or representations herein; (iii) any Record or the associated artwork is offensive to reasonable standards of public morals; or (iv) any Record does not comply with Ostereo's then-current submission specifications.

9.3 Owner hereby indemnifies and holds Ostereo and its licensees harmless from and indemnifies them against any claims, damages, liabilities, losses, expenses or costs to Ostereo or its licensees (including legal fees) by reason of Owner's breach and/or threatened breach of this Agreement or of Owner's warranties, representations, undertakings and/or agreements. In the event of any claim being made Ostereo or its licensees Ostereo shall be entitled to withhold from Owner any monies payable to Owner in an amount reasonably sufficient to meet such claim.

9.4 In the event of a material breach by either party hereto of any of the terms, conditions, or agreements contained herein (a "**Default**"), the non-defaulting party may, without limiting its other rights and remedies, terminate the Term of this Agreement if the defaulting party has not cured such Default within thirty (30) days following receipt of written notice of such Default. Upon termination, the parties hereto shall have all of the rights and remedies expressly provided in this Agreement, in addition to those rights and remedies they may have under law or equity.

9.5 During the Term, Ostereo will have the right (but not the duty nor obligation) to prosecute, negotiate, and settle any and all claims and actions, and to prevent, protect, and restrain the infringement of copyright or other rights, with respect to Owner Records. Any monies recovered as a result of a judgment or settlement with respect to and directly attributable to Owner Records shall be divided and paid in the same manner as Digital Revenue following deduction of any out-of-pocket expenses incurred in obtaining such monies (including reasonable outside legal fees).

9.6 Without limiting anything in this Agreement, it is understood and agreed that any manipulation of streaming activity and/or any manipulation of the monetization of Owner Records or Content directly or indirectly by Owner, or, as applicable, any of Owner's sub-labels, Affiliates or any Persons or parties engaged directly or indirectly by Owner or Owner's sub-labels or Affiliates, ("**Fraudulent Content Manipulation**") shall be deemed to cause Ostereo significant and irreparable harm and shall automatically be deemed material breach of this Agreement, which cannot be properly remedied or cured. In the event that Ostereo determines in its sole discretion that there has been any Fraudulent Content Manipulation then, without limiting any of Ostereo's other rights and remedies under the Agreement, Ostereo shall have the following options:

- (i) Ostereo shall have the right to immediately cease distribution of all Owner Records and Content identified by Ostereo in connection with Fraudulent Content Manipulation; and
- (ii) Ostereo shall have the right to immediately terminate this Agreement. In the event of such termination, Ostereo shall have all rights under this Agreement including, without limitation, the right to immediately demand and receive payment by Owner to Ostereo of all Debt owed to Ostereo and all rights of indemnification from Owner to Ostereo under clause 9.2 above

Ostereo may exercise one or more of its options above by sending Owner written notice of the same (email being sufficient).

9.8 Notwithstanding the provisions of and without prejudice to clause 9.2 above Ostereo shall have the option to immediately terminate this Agreement in the event Ostereo receives more than one claim against Owner Records which Ostereo believes may give rise to an infringement claim being made against Ostereo.

9.9 Owner confirms that Ostereo has advised Owner to take, and that Owner has taken independent legal advice on the terms of this Agreement.

9.10 Save to the extent expressly set out herein, this Agreement is not intended to nor shall it create any rights, entitlements, claims or benefits enforceable by any person that is not a party hereto. Accordingly, save to the extent expressly set out in this Agreement, no person shall derive any benefit or have any right, entitlement or claim in relation to this Agreement by virtue of the Contracts (Rights of Third Parties) Act 1999.

9.11 Nothing in this Agreement is intended to, or shall be deemed to, establish any partnership or joint venture between any of the parties, constitute any party the agent of another party, nor authorise any party to make or enter into any commitments for or on behalf of any other party.

9.12 This Agreement may be executed and delivered by email (as PDFs of the whole Agreement) and in any number of counterparts, each of which is deemed an original and which, together, have the same effect as if each party had signed the same document.

9.13 This Agreement constitutes the whole agreement between the parties and supersedes all previous agreements between the parties relating to its subject matter. Each party acknowledges that, in entering into this Agreement, it has not relied on, and shall have no right or remedy in respect of, any statement, representation, assurance or warranty (whether made negligently or innocently) other than as expressly set out in this Agreement. Nothing in this clause shall limit or exclude any liability for fraud.

9.14 No variation of this Agreement shall be effective unless it is in writing and signed by the parties (or their authorised representatives).

9.15 No failure or delay by a party to exercise any right or remedy provided under this Agreement or by law shall constitute a waiver of that or any other right or remedy, nor shall it preclude or restrict the further exercise of that or any other right or remedy. No single or partial exercise of such right or remedy shall preclude or restrict the further exercise of that or any other right or remedy.

9.16 If any provisions or portions of this Agreement shall be deemed to be held invalid, illegal or unenforceable or shall be required to be modified, the validity, legality or enforceability of the remaining portions or provisions shall not be affected or impaired thereby.

9.17 Ostereo shall be entitled to assign this Agreement. Owner shall not assign, transfer, mortgage, charge or deal in any other manner with this Agreement or any of Owner's rights and obligations under or arising out of this Agreement or otherwise dispose of the benefit of this Agreement without Ostereo's prior written consent.

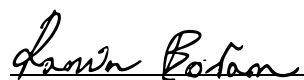
9.18 This Agreement and any dispute or claim arising out of or in connection with it or its subject matter or formation (including non-contractual disputes or claims) shall be governed by and construed in accordance with the laws of England and Wales and the parties irrevocably agree that the courts of England and Wales shall have exclusive jurisdiction to settle any dispute or claim that arises out of or in connection with this Agreement or its subject matter or formation (including non-contractual disputes or claims).

10. **DEFINITIONS** "**Affiliate**" means any entity which is at the relevant time a subsidiary or holding company of (or controlling, controlled by or under common control with) such company or a subsidiary of such holding company (subsidiary and holding company having the respective meanings given in section 1159 of the Companies Act 2006, and control and related words meaning the possession of power to direct or cause the direction of the management and policies of the relevant entity, whether through the ownership of voting securities, by board appointment, by contract or otherwise); together with any company, partnership or other body corporate in which such company or person has an interest (direct or indirect) or which is under the control (direct or indirect) of or such company or person and in making such determination "control" shall have the meaning set out in section 1124 of the Corporation Tax Act 2010"; **Channels**" means the networks and pages associated with Facebook, YouTube, TikTok and any and all other monetisable audio-visual platforms on which Content is made available; "**Clip**" means a Record which is edited into a shorter work, which Owner waives any and all rights to collect any proceeds or other remuneration, whatsoever, in connection with the distribution of, and shall be responsible for securing all clearances and making all payments of any kind whatsoever in connection with such use (including, without limitation, with respect to the Compositions embodied thereon); "**Composition**" means a single musical composition, irrespective of length, including all spoken words and melodies; "**Content**" means all audio-only and audiovisual materials acquired, created, owned or controlled by Owner and/or any Affiliates of Owner and Delivered by Owner to Ostereo and is subject to this Agreement (including, without limitation, Owner Records and Videos); "**Debt**" means, if applicable, any monies owed by Owner to Ostereo; "**Deliver,**" "**Delivered,**" and "**Delivery**" means the receipt by Ostereo of all materials reasonably necessary for Ostereo to exercise

its rights hereunder with respect to Owner Records (including, without limitation, all necessary information, consents, licenses, permissions and any other materials or information or inspection reasonably requested by Ostereo hereunder including assessing Owner Records, their accompanying data, and any relevant financial information relating to their proposed distribution.); "**Digital Distribution**" means the reproduction, distribution, exploitation, sale, and transmission of any and all of Owner Records in any media and by any medium, whether in audio and audiovisual format, whether sound alone or sound coupled with an image or with data, in any form and format, whether now known or hereafter devised, excluding physical configurations (e.g., CDs and vinyl); "**Digital Revenue**" means the GB Pounds Sterling amount actually payable by Ostereo in the United Kingdom connection with the exploitation of Owner Records at DSPs and via Channels; "**Digital Rights**" means the right to stream, transmit, exhibit, display or distribute the Content at DSPs, on the internet, and via Channels; "**DSP**" means a digital service provider that is an online store (e.g., iTunes, Amazon Music) or streaming service (e.g., Spotify, Apple Music, Deezer) which features digital albums and singles; "**Materials**" means all Compositions and all other musical, dramatic, artistic, literary and/or other intellectual properties or otherwise proprietary materials, ideas, works or concepts furnished or selected by Owner or otherwise used in connection with any Records distributed under this Agreement (including, without limitation, each name or sobriquet used by Owner, any artist individually or as a group or any producer, or the packaging, sale, distribution, advertising, publicizing or other exploitation thereof); "**Net Revenue Share**" means the total of all Revenue, less all Debt; "**Person**" means any individual, corporation, partnership, limited liability company, joint venture, firm, entity, association, unincorporated organization, trust or estate, any legal successor or representative of any of the foregoing, any government or any agency, department or instrumentality thereof; "**Promotional Materials**" means Owner's and (as applicable) each artist's, and each producer's likeness, name, voice, sound effects and biographical material, and/or any reproduction thereof, and Owner's and (as applicable) each artist's logos and marks in connection with the sale, advertisement, promotion, distribution and exploitation of Records, without payment of additional compensation to Owner and/or any other Person or entity, and which may be edited to fit the format of the specific use without further approval from Owner and/or any other Person or entity; "**Record**" means every form of reproduction, whether now known or hereafter devised, embodying sound alone, sound accompanied by visual images, by graphic material, by text or by other materials, distributed or transmitted through any and all methods and manners, whether now known or hereafter devised (including, without limitation, digital downloads and streams); "**Recording**" means any recording of sound, whether or not coupled with a visual image, by any method and on any substance or material, whether now known or hereafter devised, which is intended for use in the recording, production, manufacture and/or exploitation of Records; "**Revenue**" means the GB Pounds Sterling amount (net of any sales taxes) actually received by Ostereo in the United Kingdom for the exploitation of Owner Records, including in connection with Digital Distribution, Channels monetisation and/or Synch licensing; "**Rights Period**" means, in respect only of those Owner Records Delivered in the last year of the Term, the period of one (1) year following the end of the Term (as applicable); "**Synch Revenue**" means the GB Pounds Sterling amount (net of any sales taxes) actually received by Ostereo in the United Kingdom in connection with licensing of the Records and any individual Recordings embodied thereon to third parties for use in audio and audiovisual works; "**Territory**" means the world; "**Videos**" means audiovisual recordings (including, without limitation, film, footage, Clips, television programs, music videos, photographs, art, movies and all other visual media).

IN WITNESS WHEREOF, the parties hereto have entered into and executed this Agreement as of the Effective Date.

ACCEPTED AND AGREED:



For and on behalf of
Ostereo Limited



For and on behalf of
Owner

Schedule One referred to above

Schedule Two referred to above

- Uii Entertainment: <https://www.youtube.com/channel/UC89iO3y9uJO-D1OKZ3cWFZg>
- Shweta Records Hits: https://www.youtube.com/channel/UC5vIT8ii09_f6Ogqk4RlrxA
- 1888 Records.02: https://www.youtube.com/channel/UC_XLiNptGpLFmfgIFnLNknw
- Zafar Sultanpuri Official: <https://www.youtube.com/@ZafarSultanpuriOfficial>